CSIS JAPAN CHAIR

Japan Daily Brief

Friday, October 23, 2026

1,835 words · 7 min read

RE: Japan CPI tops 2% for first time in 2026 · BOJ rate hold expected next week · PHP cyber crisis · Finland defense talks · BYD Okinawa ban

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
62,693.16	156.82	$110.09	1.00%
▼ -3.43%	▼ -0.62%	▲ +0.49%	

TOP STORIES

ECONOMY-BOJ

Japan core inflation in September surges to its highest this year at 2.1%

Japan's September core inflation—stripping out fresh food prices—came in at *2.1%*, in line with Reuters consensus forecasts and the highest reading since December 2025, crossing the BOJ's 2% target for the first time in nine months. The data land one week before the BOJ's next policy meeting, where the bank is expected to hold at 1.25% but where December hike pricing has surged sharply.

CNBC

TECHNOLOGY

Japan to simulate cyberattacks as PHP flaws roil global internet

Japan's government announced plans to launch cyber-simulation exercises as a PHP programming-language flaw disrupted websites across dozens of ministries and suspended SoftBank's earthquake and tsunami emergency alert systems. The Chief Cabinet Secretary confirmed partial suspension of government sites while patching is underway; METI Minister Akazawa separately announced a new white-hat hacker team, citing AI-driven probing by attackers.

REUTERS

ALLIANCE

US bans Chinese-made BYD vehicles from Okinawa air base over security concerns

The United States has banned BYD-manufactured vehicles from a US air base in Japan—reported as Okinawa—citing security concerns, according to a news report cited by Reuters and the Straits Times. The move extends a pattern of US force-protection restrictions on Chinese-origin technology at facilities hosting US Forces Japan.

REUTERS · OCT 23, 2026

DEFENSE

Japan to reorganize defense research around AI, cyber

Japan is planning a reorganization of its defense research and development apparatus to center AI and cyber capabilities, per Nikkei Asia. The restructuring aligns with the ongoing review of the Three Strategic Documents and Japan's drive to close capability gaps with China's AI-enabled military programs.

NIKKEI ASIA

DEFENSE

Japan considers broadening definition of security spending to count toward defense outlay targets

Japan is considering a broader accounting definition of security-related expenditure that would allow certain non-MOD spending—such as coast guard and cybersecurity outlays—to count toward its defense spending targets, per Reuters sources. The move could help Tokyo demonstrate compliance with its *2%-of-GDP* commitment while managing fiscal constraints.

REUTERS · OCT 23, 2026

ALLIANCE

America’s attack on the International Criminal Court is a headache for Japan

The Economist examines how Washington's campaign against the International Criminal Court places Japan—which has a sitting Japanese president at the ICC—in an uncomfortable position, having to balance its alliance with the US against its longstanding support for the rules-based international order. Japan has publicly declared US ICC sanctions 'incompatible with Japan's position,' and the ICC was awarded the EU Parliament's human rights prize this week.

THE ECONOMIST

STAT OF THE DAY

53.23 million

Personal data records potentially leaked from Sagawa Express

Logistics firm Sagawa Express disclosed that up to 53.23 million shipment data records may have been compromised, adding to a wave of data breaches hitting Japan this week alongside the PHP vulnerability crisis.

Japan's Sagawa Express says up to 53.23 mln personal data records may have leaked-Xinhua

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · FRIDAY, OCTOBER 23, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi instructed METI Minister Akazawa to review and scale back gasoline subsidies from December, adding a fiscal policy directive to her cybersecurity-related public communications this week.

経済産業省 · MINISTRY OF ECONOMY, TRADE AND INDUSTRY · *Ryosei Akazawa, METI Minister*

METI announces white-hat hacker team to counter cyberattacks; AI-driven intrusions cited

METI Minister **Ryosei Akazawa** announced that the ministry will launch a team of cybersecurity experts specializing in ethical hacking techniques, warning that attackers may be using AI to probe for weaknesses. The announcement follows a wave of PHP-related incidents and a reported Chinese AI-tool campaign targeting 20 Japanese firms.

→ Mainichi ↗

防衛省 · MINISTRY OF DEFENSE · *Shinjiro Koizumi, Defense Minister*

Defense Minister Koizumi meets Finnish defense chief; nuclear policy shift tops agenda

Defense Minister **Shinjiro Koizumi** is due to meet Finland's defense minister, with Japan's potential shift on nuclear hosting policy heading the agenda after Finland revised a domestic law allowing nuclear weapons into the country. The talks come as Japan weighs a similar policy change, a subject that has drawn sustained Chinese criticism over recent weeks.

→ The Japan Times ↗

防衛省 · MINISTRY OF DEFENSE

MOD announces travel schedules for Defense Minister Koizumi and Deputy Defense Minister Odawara

The Ministry of Defense published travel schedules for Defense Minister Koizumi and Deputy Defense Minister Odawara; Finland's defense minister is confirmed as visiting the ministry today.

日本銀行 · BANK OF JAPAN

BOJ expected to hold rate at 1.25% at next week's policy meeting; assessing whether underlying inflation has reached 2%

Nikkei Asia reports the BOJ is expected to hold its policy rate at 1.25% at next week's meeting, even as September CPI data show core inflation at 2.1%—the highest level this year. The BOJ is assessing whether underlying inflation has sustainably reached its 2% target, with expert forecasts for a December rate hike jumping 48 percentage points in a single month according to one Korean financial outlet citing market surveys.

→ Google News ↗

日本銀行 · BANK OF JAPAN

BOJ publishes Financial System Report (October 2026)

The Bank of Japan released its semi-annual Financial System Report for October 2026, providing an assessment of stability risks across Japan's banking and financial system.

→ Bank of Japan ↗

DIET SESSIONS / LDP

LDP / COALITION (KOMEITO)

Komeito insists on ¥530,000 floor for child-rearing support benefit; coalition negotiations ongoing

Komeito declared the ¥530,000 lower threshold for its child-rearing support grant 'absolutely non-negotiable,' with coalition discussions on the benefit's eligibility criteria continuing in parallel with Diet deliberations on the consumption tax cut bill.

LDP

LDP signals caution on introducing maiden-name bill this Diet session; consumption tax cut to take priority

LDP leadership indicated reluctance to submit a bill formalizing the use of maiden names as legal aliases during the current Diet session, with the consumption tax cut bill taking precedence. The decision reflects both legislative bandwidth constraints and internal conservative resistance.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
ANN · Oct 19, 2026	**47.1%**	**33.3%**
Asahi · Oct 19, 2026	**50%**	**35%**
Kyodo · Oct 19, 2026	**49.1%**	**33%**
FNN · Oct 19, 2026	**62.6%**	**32.3%**
Yomiuri · Oct 19, 2026	**57%**	**30%**
NHK · Oct 14, 2026	**50.8%**	**32%**
JNN · Oct 4, 2026	**63%**	**33.9%**

Discourse: Poll divergence across houses (Kyodo 49.1% vs. Yomiuri 57%) reflects methodological differences, but the Kyodo sub-50% reading—and 68% of Asahi respondents viewing scandal-tainted cabinet members as 'problematic'—underscores the political drag heading into Takaichi's second year.

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

MACRO · FT · BANK OF JAPAN

FT: September inflation keeps BOJ on tightening course as key measures rise

The Financial Times reports that September's inflation data, with core CPI at *2.1%*, keep the Bank of Japan on a tightening trajectory, with the key underlying measures trending upward. Market pricing for a December rate hike has shifted sharply, even as the BOJ is expected to hold next week.

MANUFACTURING · REUTERS · NIPPON STEEL, US STEEL

Nippon Steel to invest $3 billion in US Steel plant equipment upgrades

Nippon Steel plans to invest *$3 billion* in equipment upgrades at US Steel facilities, per Nikkei reporting cited by Reuters. The investment signals continued commitment to the US Steel acquisition framework and deepening Japan-US industrial ties.

FINANCE · NIKKEI ASIA · SHIGA BANK, IKEDA SENSHU HOLDINGS

Shiga Bank and Ikeda Senshu HD in merger talks; would form Japan's largest regional bank in the west

Shiga Bank and Ikeda Senshu Holdings are in talks to integrate operations, which if completed would create the largest regional banking group in western Japan. The consolidation reflects ongoing pressure on regional lenders from low-margin lending environments and demographic decline.

REGIONAL PRESSURE WATCH

Normal — 21 items

CHINA

China's Foreign Ministry—via CGTN and Global Times—reiterated that rare-earth export controls targeting Japan are designed to prevent Japanese 'remilitarization' and 'nuclear ambitions,' maintaining the framing that Beijing's supply restrictions are legitimate policy rather than economic coercion. The messaging is a continuation of the past seven days of coordinated Chinese state-media pressure on Japan's nuclear-hosting debate and Yasukuni offerings.

NORTH KOREA

Indo-Pacific Defense FORUM assessed that Japan-South Korea technology cooperation is reinforcing the US-Japan-ROK trilateral missile-tracking network, with North Korea's sustained missile-testing campaign continuing to serve as the operational driver for that trilateral integration.

RUSSIA

Nikkei Asia analysis published today examines how energy ties keep Japan-Russia relations 'hanging on by a thread,' with Japanese companies remaining in Russian energy projects while awaiting policy clarity; the detained Hokkaido Shimbun reporter Yuki Imai case continues as Russia denies consular access.

Senkaku / ECS: No new Senkaku-specific patrol or intrusion data appeared in today's articles; China Coast Guard near-daily presence in the contiguous zone remains the baseline per the persistent tracker.

“China imposes export controls on Japan to curb its nuclear ambition”

Chinese Foreign Ministry spokesperson (via CGTN headline) · China imposes export controls on Japan to curb its nuclear ambition, foreign ministry says - CGTN

“Rare-earth export controls on Japan aim to prevent 'remilitarization' nuclear ambitions”

Chinese Foreign Ministry (via Global Times) · Rare-earth export controls on Japan aim to prevent 'remilitarization' nuclear ambitions: FM - Global Times

Bottom line: China is sustaining its dual-track pressure on Japan—rare-earth supply leverage framed as anti-nuclearization policy, and coordinated state-media messaging on Yasukuni and nuclear hosting—while no new kinetic escalation from North Korea or Russia was reported today. Watch: the BOJ policy meeting next week and the gasoline-subsidy decision for domestic pressure points that intersect with the China rare-earth chokehold on manufacturing.

INDO-PACIFIC PARTNERS

KOREA-JAPAN · YONHAP

South Korea-Japan business leaders hold meeting

Senior business leaders from South Korea and Japan met, with South Korean officials also set to meet the head of a Japanese business association, per Yonhap reporting.

SOUTHEAST ASIA · MAINICHI

Vietnam President To Lam to visit Japan for four days from November 8 for talks with PM Takaichi

Vietnamese President To Lam will make a four-day state visit to Japan beginning November 8 for summit talks with Prime Minister Takaichi, the Japanese government announced. Specific agenda items were not detailed in available articles.

SOUTHEAST ASIA · NIKKEI ASIA

Japan to arrange $6 billion in private-sector investment in Bangladesh ahead of October 27 summit

Japan plans to mobilize *$6 billion* in private-sector investment in Bangladesh, to be discussed when Acting PM Tarique Rahman visits Tokyo on October 27 for talks with PM Takaichi.

• UPCOMING

Oct 27

PM Takaichi meets Bangladesh Acting PM Tarique Rahman in Tokyo

Bangladesh Acting Prime Minister Tarique Rahman is scheduled to meet PM Takaichi in Tokyo, with multiple MoUs and discussions on metro rail financing and loan interest rates expected. Japan is reported to be arranging $6 billion in private-sector investment in Bangladesh alongside the talks.

Oct 28

BOJ Monetary Policy Meeting (next week)

The Bank of Japan's next policy meeting is expected to conclude with a rate hold at 1.25%, per Nikkei Asia reporting, even as September core CPI at 2.1% has sharpened market expectations for a December hike.

Nov 3

Order of Culture ceremony; Shigeru Miyamoto to receive award

Nintendo's Shigeru Miyamoto will be officially conferred with Japan's Order of Culture on November 3 (Culture Day), becoming the first video game-related recipient of the honor.

Nov 8

Vietnamese President To Lam begins four-day state visit to Japan

Vietnamese President To Lam will arrive in Japan for a four-day visit from November 8 for talks with Prime Minister Takaichi, the Japanese government announced today. Specific agenda items were not detailed in available articles.

Dec 1

Possible gasoline subsidy phase-out begins (estimate)

Reuters reports Japan is weighing phasing out gasoline subsidies from December as fiscal costs mount; PM Takaichi has instructed METI to review the program. A final decision has not been announced.

CSIS Japan Chair

JAPAN DAILY BRIEF

Washington, D.C.

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